

FMCG Retail Performance — Executive Summary

Reporting Period: FY2022–2024 | Prepared by: Hossam Badawy

Headline

Total sales reached **£83.96M** across the three-year period, with **87.16% profit margin** and **3.88% YoY growth**. Inventory turnover stands at **4.01x**, indicating healthy stock velocity, though category-level and regional variance point to specific areas for margin recovery.

Key Findings

1. Category concentration is a growth lever and a risk.

Baby & Child leads all categories by a wide margin — the AI-driven influencer analysis shows sales are most likely to increase specifically when Category = Baby & Child (+37.22K average lift), ahead of general promotional activity (+27.66K). This means growth is currently concentrated rather than diversified — an opportunity to replicate that category's merchandising approach elsewhere, but also a concentration risk if Baby & Child softens.

2. Inventory health is broadly stable, with a defined expiry exposure.

Fill rate sits at 96.31% and stockout rate at just 1.97% — both healthy. However, **18.33% of items are near expiry**, concentrated in the top 10 profitable SKUs (led by Johnsons Diapers & Wipes and Gerber Baby Accessories variants). These are simultaneously the best-selling and highest-expiry-risk items — the exact profile that erodes margin fastest if not actively managed.

3. Channel profitability doesn't track channel volume.

Wholesale/Cash & Carry delivers the highest margin by channel (46.32% profit%) despite not being the highest-revenue channel, while Convenience Store — often assumed to be a premium-margin channel — sits mid-pack. Category managers optimizing for revenue alone would misallocate shelf space and promotional budget here.

4. Regional performance and stockout risk are geographically uneven.

West is the best-selling region, but Cardiff — within a different performance band — carries the highest stockout rate of any city. Regional sales trend lines show similar seasonal shape across all six regions, suggesting stockouts in Cardiff are a **replenishment/logistics issue specific to that location**, not a demand-side problem.

Recommendations

Priority	Action	Rationale
1	Set automated near-expiry alerts for top-10 profitable SKUs specifically, not just ABC-class-wide	These items are both highest-margin and highest-expiry-risk — targeted markdown timing protects margin without blanket discounting
2	Reallocate promotional budget toward Wholesale/Cash & Carry margin drivers, and audit Convenience Store pricing/cost structure	Margin, not volume, should drive channel investment decisions
3	Investigate Cardiff's supply chain/replenishment lead time independently of regional demand forecasting	Stockout is a location-specific fulfillment issue, not a West-region demand issue
4	Build a second growth category alongside Baby & Child (Personal Care is next-closest) to reduce revenue concentration	Diversifies growth away from single-category dependency

This analysis is based on a synthetic dataset built to demonstrate retail analytics methodology (star-schema modeling, DAX-driven KPIs, and AI-assisted influencer analysis in Power BI). Structure and findings are illustrative of the analytical approach applied to real FMCG retail data.